

“DULL-NORMAL” BUSINESSES AND THE AFFLUENT

A recent article in *Forbes* had an interesting lead:

Dull companies with steady earnings growth may not make for stimulating cocktail party chatter, but over the long term they make the best investments (Fleming Meeks and David S. Fomdiller, “Dare to Be Dull,” Forbes, Nov. 6, 1995, p. 228).

Later in the same article, the authors mention that in the long run high-tech companies can and often do fall down on the performance scale. Typically, it’s the companies in what we call the “dull-normal” industries that consistently perform well for their owners. *Forbes* lists several top-performing small businesses that have had great endurance for the past ten years. Some of the industries represented include wallboard manufacturing, building material manufacturing, electronics stores, prefab housing, and automobile parts.

No, these industries don’t sound very exciting. But typically it’s these mundane categories of businesses that produce wealth for their owners. Often dull-normal industries don’t attract a great deal of competition, and demand for their offerings is not usually subject to rapid downturns. We recently developed our own list of businesses that are owned by millionaires (see [Appendix 3](#)). We would like to list just a sample at this juncture (see [Table 8-3](#)). What businesses do the affluent own? A wide variety of dull-normals.